MODEL RISK MANAGEMENT

Path to Full Embedment

Embedding Wealth Management into the Bank's Model Risk Framework

Status update and roadmap to full embedment — target June 2027

[Your Name] · Model Risk Management · [Date]

AGENDA

What we'll cover today

01	**Where we started**	A quick recap of the journey since our first conversation
02	**What's been completed**	Four foundations now in place
03	**How we'll measure progress**	The KPIs behind the roadmap
04	**The roadmap to full embedment**	Milestones between now and June 2027
05	**What we need from you**	Keeping the plan on track

15 minutes · Questions welcome throughout

The journey so far

A FORMAL TRACK — POLICY & FRAMEWORK

✓ COMPLETE

The Model Risk Policy and MRM Framework have already been updated to formally bring Wealth Management into the scope of Model Risk — essentially a scope and wording change from Bank plc to UK Bank.

This gives every WM model the same starting point as any other model at the Bank — the lifecycle below now applies in full.

B OPERATIONAL TRACK — THE MODEL LIFECYCLE



Today's session picks up where we left off — and sets out what "full embedment" looks like.

Four foundations now in place

Model & DQM Identification

Completed a structured identification exercise across all Wealth Management tools and models to confirm what falls in scope.

Inventory Registration

Registered all identified models and DQMs in the bank's central model inventory, based on the outcome of the assessment.

Policy & Framework Update

Updated the Model Risk Policy and MRM Framework documents to formally incorporate Wealth Management.

Validation Plan

Built a validation plan covering all WM models and DQMs, sequenced by materiality and risk.

This is the foundation the rest of the roadmap builds on.

Six KPIs will track embedment end-to-end

1 Identification Coverage

% of WM tools & models confirmed in scope

Target: 100%

2 Registration Coverage

% of identified items logged in the model inventory

Target: 100%

3 Validation Coverage

% of registered models/DQMs with a completed validation

Target: 100% by Jun-27

4 MOC Approval Rate

Number/% of validated models approved by the Model Oversight Committee

Target: 100% of validated

5 Findings Remediation

% of validation findings closed within agreed SLA

Target: 0 overdue

6 Monitoring Embedment

% of approved models with active ongoing monitoring

Target: 100% in BAU

Together, these KPIs mirror the model lifecycle — from identification through to ongoing monitoring.

03 — KPIS

Where we stand today

[X] of [Y]
Models & DQMs identified — **100%**

[X] of [Y]
Registered in inventory — **[XX]%**

[X] of [Y]
Validations completed — **[XX]%**

[X] of [Y]
Approved by MOC — **[XX]%**

[X]
Findings overdue — **Target: 0**

[X] of [Y]
Models in active monitoring — **[XX]%**

Figures shown as placeholders — to be updated with current data before this is presented.

A live view of this dashboard will be refreshed ahead of each Wealth Management update.

The path to full embedment — targeting June 2027



Roughly 10 months remain to reach full embedment, in a structured and manageable sequence.

Our ask, to keep this on track

01	**Continued SME access**	Timely access to model owners who can explain how tools are built and used day-to-day.
02	**Prioritisation support**	Endorsement of the materiality-based sequence for validation waves 1 and 2.
03	**Timely remediation**	Findings from validations addressed within agreed timelines.
04	**Executive sponsorship**	Visible support for the plan across the wider Wealth Management team.

With this support, June 2027 is a realistic and achievable target.

Questions?

Thank you for your continued partnership on this journey.
This is progress — not the finish line.

[Your Name]
[your.email@handelsbanken.co.uk]
Model Risk Management

Next step: [confirm follow-up action agreed in this meeting]